

The rules we arrive at then are:

- Long positions are allowed if the 40-day exponential moving average is above the 80-day exponential moving average.
- If the price in a bull market falls back three times its average true range from the highest closing price in the past 20 days, we buy to open.
- If the trend turns bearish, we exit.
- Position size is volatility parity, based on average true range.

■ Counter-Trend Performance

The first thing that you'll notice when looking at the long-term performance of this simple counter-trend model in Figure 7.2, is that it has a rather smooth long-term performance. Comparing it to the trend-following model looks a bit like the rabbit and the hare, with trend following occasionally showing substantial outperformance, only to lose it again. Over a 20-year time horizon, the two showed quite similar return numbers in the end.

If you look a bit closer, you'll see how the counter-trend model is much more prone to sudden, sharp moves in the short term. That is clearly a cause for concern, and the result of the fact that we are trading less liquid contracts which may occasionally exhibit unusual behaviour. In the current iteration of this counter-trend model, we have also chosen to greatly



FIGURE 7.2 Counter-trend performance.